since the Great Depression, including record job layoffs, record business failures, and a rare nationwide drop in real estate values (see Chapter 20). Over 100 of the Fortune 500 companies had negative earnings in this period, the greatest number in the history of the list. Dun & Bradstreet reported a record number of business failures in 1990. The recession saw the worst downturn in history for the hotel industry, with a 33% vacancy average. In 1991, the value of business failures as a percent of GDP was the highest on record. Cumulative layoffs were the worst since the Great Depression, with job eliminations announced by companies running at 2000 per day. In early 1991, the "big three" car makers lost a record amount of money for a single quarter, $2.6 billion. For the first time since the 1940s, total real after tax income declined for three straight quarters. By mid-1991, for the first time in half a century, the U.S. had not a single bank listed in the world's top ten for assets. In July and October 1991, employment, the average work week, and average hourly earnings all declined for the first time in the history of the figures. California, which in 1989 had been considered "recession-proof," suffered the most severe economic contraction of all. At the end of the contraction, the Federal Reserve Board of New York's Quarterly Review stated, "The Gross Domestic Product [has generated its second] weakest performance over any four-year period since the Great Depression." The contraction was worldwide, as Europe fell into its deepest recession since the Depression, and Japan's economy contracted. 1991 was the first year since 1945, four and a half decades earlier, that total world production and income declined.

Since the recession officially ended in 1991, subtle messages have been declaring that the recovery is anemic compared to the average postwar expansion. Indeed, through 1993, two years into the recovery, numerous indicators remained more compatible with continued contraction than with expansion. In 1992, business failures in the United States reached a record. Sears posted a 1992 loss of $3.9 billion, its first loss since 1933 at the bottom of the Great Depression. Ford reported a 1992 loss of $7.4 billion, setting a new U.S. company record, until it was eclipsed immediately thereafter by GM's announcement of a $23.5 billion loss. Rents and property prices in Los Angeles continued falling and were cut to as much as 50% from the 1989 high. A record number of Americans (26.6 million people, or 1/10 of the population) received food stamps in December 1992. Layoffs not only continued into 1993, they accelerated. In Connecticut, a newspaper story from early 1993 recounted